

statistically significant (for heavy or light breakout volume versus performance).

[Table 10.7](#) shows how often price reaches a stop location. I split the pattern in half (I sedated it ahead of time) and checked how often price returned to the various parts on the journey from the breakout to the ultimate high or low.

[Table 10.6](#) Volume Statistics

Description	Up Breakout	Down Breakout
Volume trend	58% up	53% up
Rising volume trend performance	45%	−16%
Falling volume trend performance	39%	−14%
Heavy breakout volume performance	43%	−15%
Light breakout volume performance	42%	−16%

[Table 10.7](#) How Often Stops Hit

Description	Up Breakout	Down Breakout
Pattern top	78%	2%
Middle	26%	17%
Pattern bottom	5%	74%

For example, broadening patterns with upward breakouts saw price return to the top of the pattern 78% of the time. It suggests you don't want to place a stop-loss order there. If you stick the stop order at the bottom of the pattern, it'll avoid being hit 95% of the time, but the resulting loss may be higher than you can tolerate. So *do* check both the position of the stop and the size of the loss should the stop trigger. A volatility stop may be just what you're looking for. I've hidden some in the Glossary (see “Volatility stop”).

[Table 10.8](#) shows the performance over three decades.

Performance over time. For upward breakouts, the 2000s posted stellar gains. Downward breakouts suffered during the same time (and that makes intuitive sense).